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The popularity of cash in India is even as transactions via the Unified Payments Interface (UPI) have skyrocketed over the years. March 2025 data puts the number of UPI transactions at 19.78 billion with a value of ₹24.77 lakh crore, up 14% and 13%, respectively, over February. In March 2020 (at the time of the pandemic), these numbers were 799.54 million and ₹1.33 lakh crore in value terms.

Now, it may appear counter-intuitive that both CiC and UPI transactions and their value are moving up. This is because the cash-versus-digital debate was posited as a binary to begin with. It is not so.

Secretary General of the Cash Logistics Association and former executive director, RBI, U. S. Paliwal, fleshes out the dynamics at play. According to him, while UPI offers convenience for a wide range of transactions

(bill payments, online purchases, money transfers), it requires complex infrastructure and specific electronic devices. On the contrary, cash remains indispensable as part of the payments ecosystem when everything else fails, when there are calamities, cyber-attacks, pandemics, riots, power cuts, and a person has to do certain types of transactions. “More importantly, in rural and semi-urban areas or for small-ticket purchases in local markets, cash is used,” he says.

MORE ATMs

The popularity of cash can be established by looking at the ATM channel data. During demonetisation in November 2016, the ATM base stood at 225,000. It is 260,000 now. Between September 2023 and March 2024, requests for proposal (RFP) for ATMs topped